

Article | 29 May 2026

FRANCE

Inflation picks up in France as recession risks mount

France's economic outlook is deteriorating rapidly. With inflation edging higher again and domestic demand weakening, a recession now looks increasingly likely



Inflation is up and the French economy is sliding towards recession

French inflation rose to 2.4% in May from 2.2% in April and 1.7% in March, mainly driven by higher energy prices (+16.8% year-on-year). Services inflation also picked up slightly to 2.0% (from 1.8% in April), although it remains below its March level. Despite higher fresh food prices, food inflation is still contained at 1.2% year-on-year. Meanwhile, prices for manufactured goods continue to decline (-0.6% year-on-year). The harmonised index of consumer prices (HICP), closely watched by the European Central Bank, increased to 2.8% in May from 2.5% in April, coming in slightly below expectations.

Overall, the latest figures are in line with our expectations. The inflationary process is not yet over, and price growth could continue to firm in the coming months. That said, the risk of a renewed inflation shock similar to 2022 remains very limited, largely because domestic demand is weak. As a result, French inflation is likely to remain lower than in neighbouring eurozone economies in the near term.

At the same time, incoming data increasingly points to an economy sliding towards recession.

This morning, INSEE revised first-quarter GDP growth down to -0.1% (from an initial estimate of 0%). Over the quarter, households' purchasing power declined, the savings rate increased again, and consumption fell.

More recent data shows further weakness. Goods consumption dropped markedly in April (-0.5% month-on-month, after +0.9% in March). Not only did energy consumption decline, but spending on manufactured goods also slowed sharply. Consumer confidence deteriorated significantly in May, reaching its lowest level since March 2023. Households are becoming more pessimistic about their financial situation, and their willingness to make major purchases has weakened noticeably.

All in all, the economy not only started the year on a weaker footing than expected, but has also deteriorated further in recent weeks. Indicators across the board point to a pronounced loss of momentum. We expect GDP to contract again in the second quarter, which would push France into a technical recession (defined as two consecutive quarters of declining output).

The government's growth target of 0.9% for this year now appears clearly out of reach. Growth of around 0.6% would represent a best-case scenario. In an already highly constrained fiscal environment, where the government is seeking to reduce the deficit to 5% this year, there is virtually no room for additional fiscal support. According to the European Commission, the deficit is expected to reach 5.1% in 2026 and 5.7% in 2027, despite relatively optimistic growth assumptions. Public debt is projected to rise to 118% of GDP in 2026 and 120% in 2027. With presidential elections approaching in 2027 and no clear parliamentary majority, fiscal sustainability is likely to remain a key concern in the months ahead.

Author

Charlotte de Montpellier

Senior Economist, France and Switzerland

charlotte.de.montpellier@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

THINK economic and financial analysis

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.